

Project Cola — Draft Diligence Memo (PepsiCo, Inc.)

This draft memo summarizes preliminary findings on PepsiCo, Inc. ahead of the investment committee review. Figures are drawn from company filings and analyst workpapers and have not yet been independently verified.

Overview

PepsiCo is a leading global beverage and convenient food company with a portfolio spanning Pepsi-Cola, Frito-Lay, Gatorade, Quaker and SodaStream. PepsiCo primarily operates across North America, Latin America, Europe, Africa, the Middle East, South Asia, Asia Pacific, Australia, New Zealand and China as of FY2022. The business is organized into divisions serving both developed and developing markets.

Credit and Liquidity

The company maintains committed credit facilities as backstop liquidity for its commercial paper program. On May 26, 2023, PepsiCo increased its unsecured five-year revolving credit agreement by \$600 million. As of May 26, 2023, PepsiCo may borrow a total of \$8.4 billion under its unsecured revolving credit agreements.

Earnings and Guidance

In Q1 FY2023, management raised full-year guidance for core constant currency EPS growth by 2 percentage points. The guidance raise reflected a strong start to FY2023. FY2022 unadjusted EBITDA less capital expenditures was approximately \$10,342 million, defining unadjusted EBITDA as unadjusted operating income plus depreciation and amortization from the cash flow statement.

Cost Structure

Management continues to execute multi-year productivity programs. Restructuring costs outlined in the FY2022 income statement amounted to \$411 million.

Governance and Workforce

At the AGM held on May 3, 2023, the shareholder proposal for a congruency report on net-zero emissions policies was approved by shareholders. PepsiCo's global employee attrition rate improved to 6.1% in FY2022.

Capital Return

PepsiCo repurchased \$12.5 billion of common shares during FY2024. We view the dividend as well covered by operating cash flow.